

Northgate Commercial Property Underwriting Guidelines 2025

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These guidelines govern commercial property underwriting for Northgate Specialty Insurance Co. Deviations require a documented referral to the authority level shown in §3.1. Guideline parameters are machine-readable in the Northgate rule library.

SAMPLE

§2.1 APPETITE

Target classes: office, retail, hospitality, light manufacturing, warehouse, healthcare, education, data centers. Declined classes: none (scrap metal and recycling yards are declined effective v2026). Existing accounts in declined classes are to be non-renewed with statutory notice or referred for exception.

Underwriters must document the evidence relied on and any deviation in the underwriting file. Where evidence conflicts, verified engineering observations take precedence over broker-reported data.

SAMPLE

§3.1 AUTHORITY

Level 1: account TIV to \$200M, price deviation $\pm 5\%$, renewal rate change (RARC) not below -5% . Level 2: TIV to \$400M, $\pm 10\%$, RARC $\geq -10\%$. Level 3: TIV to \$1.5B, $\pm 15\%$, RARC $\geq -20\%$, guideline exceptions. Level 4 (CUO): all others. Approvals apply to the specific terms approved.

Underwriters must document the evidence relied on and any deviation in the underwriting file. Where evidence conflicts, verified engineering observations take precedence over broker-reported data.

SAMPLE

§4.2 PRICE ADEQUACY

Proposed premium must be at least 95% of the technical premium produced by the current rating model.

Underwriters must document the evidence relied on and any deviation in the underwriting file. Where evidence conflicts, verified engineering observations take precedence over broker-reported data.

SAMPLE

§5.1 VALUATION

Reported building values below 80% of modelled replacement cost require an updated appraisal or a valuation debit. Appraisals older than 3 years are stale.

Underwriters must document the evidence relied on and any deviation in the underwriting file. Where evidence conflicts, verified engineering observations take precedence over broker-reported data.

SAMPLE

§6.2 ROOFS

Roofs older than 20 years in hail or wind zones require inspection or a roof schedule.

Underwriters must document the evidence relied on and any deviation in the underwriting file. Where evidence conflicts, verified engineering observations take precedence over broker-reported data.

SAMPLE

§6.5 SPRINKLERS

Storage heights above the sprinkler design basis are a critical deficiency; bind only with a re-survey condition. Lithium-ion battery storage requires specific engineering review.

Underwriters must document the evidence relied on and any deviation in the underwriting file. Where evidence conflicts, verified engineering observations take precedence over broker-reported data.

SAMPLE

§6.8 COMMERCIAL COOKING

Commercial cooking operations require UL 300 suppression and semi-annual hood cleaning evidenced by certificates.

Underwriters must document the evidence relied on and any deviation in the underwriting file. Where evidence conflicts, verified engineering observations take precedence over broker-reported data.

SAMPLE

§7.3 NAMED STORM

Tier 1 wind locations: minimum named storm deductible 2% per location, minimum \$100,000. Tier 2: 2%.

Underwriters must document the evidence relied on and any deviation in the underwriting file. Where evidence conflicts, verified engineering observations take precedence over broker-reported data.

SAMPLE

§8.4 SECURITY

High-value stock above \$1,000,000 in locations with a burglary score at or above 80 requires a UL-certificated centrally monitored intrusion alarm.

Underwriters must document the evidence relied on and any deviation in the underwriting file. Where evidence conflicts, verified engineering observations take precedence over broker-reported data.

SAMPLE

§9.2 VACANCY

Buildings more than 50% vacant for over 60 days require referral; vacancy with impaired sprinklers is critical.

Underwriters must document the evidence relied on and any deviation in the underwriting file. Where evidence conflicts, verified engineering observations take precedence over broker-reported data.

SAMPLE

§10.1 ENGINEERING

Critical recommendations must be verified closed by Northgate Risk Engineering. Bind conditions not verified are a broken commitment.

Underwriters must document the evidence relied on and any deviation in the underwriting file. Where evidence conflicts, verified engineering observations take precedence over broker-reported data.

SAMPLE

§11.4 ACCUMULATION

Renewals that take a CAT zone above 90% of its 1-in-250 capacity are referred to Level 3.

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SAMPLE